

Hotel Revenue Performance Audit

SAMPLE • HISTORICAL PORTFOLIO ANALYSIS

January–August 2017 compared with January–August 2016

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Metric	City 2016	City 2017	Resort 2016	Resort 2017
Estimated room revenue	4,462,390.10	5,637,958.64	3,502,652.61	4,173,305.03
Positive-rate booking nights	42,917	47,763	35,944	38,434
Positive-rate weighted ADR	103.97	118.04	97.44	108.58
Cancellation rate	38.70%	42.50%	26.78%	30.76%

Executive summary

For January–August arrivals, estimated room revenue increased by **26.34% at City Hotel** and **19.15% at Resort Hotel** in 2017 compared with 2016. Both hotels recorded more qualifying booking nights and higher positive-rate weighted ADR.

Cancellation rates also rose—from **38.70% to 42.50% at City Hotel** and **26.78% to 30.76% at Resort Hotel**, increases of **3.80 and 3.98 percentage points**, respectively. This warrants further investigation into cancellation patterns alongside the revenue growth.

Methodology and limitations

Comparison covers January–August arrivals in 2016 and 2017. Estimated room revenue equals ADR × stay nights for non-cancelled bookings with positive ADR and stay length; the full stay value is assigned to the arrival month. Positive-rate weighted ADR divides this revenue by matching booking nights. Cancellation rates use all bookings in the selected periods.

Zero and negative rates are excluded from the positive-rate metrics. Revenue is estimated, not verified payments or profit; currency remains unverified. Occupancy and RevPAR are omitted because available room inventory has not been established.

Project source: [Hotel Revenue & Booking Intelligence — GitHub](#)

Key Problems and Evidence

1. Cancellation rates increased at both hotels

For January–August arrivals, City Hotel's cancellation rate rose from 38.70% in 2016 to 42.50% in 2017, an increase of 3.80 percentage points. Resort Hotel's rate rose from 26.78% to 30.76%, an increase of 3.98 percentage points.

Although estimated room revenue grew, a larger share of bookings was cancelled.

Management should investigate cancellation timing and affected segments to understand the operational impact. These figures alone do not establish lost revenue, because rooms may have been resold or cancellation fees collected.

2. Long-lead Online TA bookings warrant investigation

For Online TA bookings with January–August 2017 arrivals, cancellation rates were highest among bookings made more than 90 days before arrival: 48.94% at City Hotel and 55.05% at Resort Hotel. These groups recorded 3,608 and 1,620 cancellations, respectively.

Management should prioritise reviewing cancellation timing and booking conditions for these groups. The pattern shows an association between longer booking lead times and higher cancellation rates; it does not prove that booking earlier causes cancellations.

3. Zero and negative rates require clarification

Across the full dataset's non-cancelled bookings, the analysis identified 1,746 zero-rate bookings, representing 2,771 recorded nights, and one negative-rate booking. The negative-rate record, booking 14970 at Resort Hotel, had an ADR of –6.38 for a 10-night stay.

These records are excluded from positive-rate weighted ADR calculations, while the original data remains unchanged.

Management should confirm whether the rates reflect complimentary stays, valid adjustments, missing pricing, or entry errors before any corrections are made. This data-quality review covers the full dataset, rather than only the January–August comparison periods.

30/60/90-Day Actions

These are proposed actions for a future client engagement, informed by this historical analysis. They have not been implemented at the hotels and do not guarantee performance improvements.

Days 1–30: Validate data and investigate cancellations

Confirm the currency and clarify zero-rate and negative-rate records with the hotel's reservations or finance team. Document any verified corrections while preserving the original records.

Review cancellation timing and booking conditions for Online TA bookings made more than 90 days before arrival. Establish baseline booking counts, cancellation rates, and estimated booking values by hotel and lead-time group.

Deliverable: A documented data-quality review and cancellation baseline, including outstanding questions and agreed priorities.

Days 31–60: Test one targeted improvement

With management approval, test one operational change, such as pre-arrival confirmation messages for selected long-lead Online TA bookings. Agree on the eligible bookings, message timing, responsible staff, and measurement approach before starting.

Compare the test group with a comparable group receiving the usual process. Track cancellation timing, cancellation rates, and eventual completed-stay revenue where available. Record differences in booking conditions that could affect the comparison.

Deliverable: An interim test report describing results, limitations, and whether more observation is needed.

Days 61–90: Evaluate and establish monthly reporting

Review the available test results and recommend whether to continue, revise, or stop the change. Bookings made more than 90 days ahead may not have reached their arrival dates, so final outcomes may require monitoring beyond this plan.

Establish a monthly review covering estimated room revenue, qualifying booking nights, positive-rate weighted ADR, cancellation rates, and segment-level changes. Use matching comparison periods and disclose unresolved data limitations.

Deliverable: A monthly performance report and an updated action list with owners, deadlines, and measures of progress.